



“We expect revenue growth momentum to remain strong for hospitals, with occupancy levels rising to 71% by FY26 from 67% in FY23 for existing beds, while diagnostics’ FY23-26 revenue should grow by double-digits”

TAUSIF SHAIKH
INDIA ANALYST-PHARMA AND HEALTHCARE,
BNP PARIBAS INDIA

NCR, Maharashtra, Karnataka, Punjab, and West Bengal. It has recently commissioned a 70-bed hospital in Ludhiana and a 170-bed one in Greater Noida. It is adding beds in Fortis Memorial Research Institute, Gurugram; Fortis Hospital Shalimar Bagh, Delhi; Fortis Hospital Bannerghatta Road, Bengaluru; Fortis Noida; Fortis Mohali, Fortis Amritsar, and Fortis Kolkata. In April 2023, Fortis bought Medeor Hospital (with 450 beds) in Manesar. Raghuvanshi says Fortis is acquiring strategic assets and expanding existing facilities. It will add 4,000 beds from inorganic expansion and 2,000 from brownfield expansion. For a hospital, beds are important. Fortis says its average revenue per occupied bed, or ARPOB, was ₹61,095 a day in Q3FY24.

DIGITAL IS KING

Fortis Healthcare’s digital initiatives—from online appointments and consultations via the website to the Fortis app and digital campaigns—also bring in a good revenue stream. Online test bookings and payments are fetching more patients, while the app allows access to health records and triggers medication reminders. A

good amount also comes from medical tourists. Fortis says revenue from medical value travellers nearly doubled to ₹425 crore in 2022-23, or 8.3% of total revenues, from ₹215 crore in 2021-22 (5% of the total in 2021-22.)

Revenue from digital channels is growing and accounted for a fourth of total revenues in Q3FY24. Raghuvanshi says technology plays a vital role in modern hospitals, with three key areas: operating systems and records, equipment, and patient interface. Fortis will have an electronic medical record (EMR) system in one-and-a-half years. “We are heavily invested in robotic surgery and radiation oncology setups. On average, we’ll spend roughly ₹400-500 crore annually on equipment and IT-related initiatives,” says Raghuvanshi.

Fortis is also open to mergers and acquisitions. “Valuations in the M&A space are likely to become challenging, but opportunities will arise for standalone hospitals where second generations may not be interested in running operations. Consolidation will continue, as the organised sector currently represents only 8-9% of beds,” says the MD & CEO. And it is not restricting its strategy to India: for medical value travel it is targeting the markets in the Gulf Cooperation Council (GCC), Africa, Bangladesh, Nepal, and Southeast Asia.

Nitin Agarwal, DAM Capital’s Head of Research, says Fortis’s legacy promoter-related issues are now behind, and it has multiple growth levers. “All this puts Fortis in a strong position to deliver top quartile Ebitda growth with limited investments in greenfield assets,” he says.

Tausif Shaikh of BNP Paribas India says Fortis’s future looks promising. “We expect revenue growth momentum to remain strong for hospitals, with occupancy levels rising to 71% by FY26 from 67% in FY23 for existing beds, while diagnostics’ FY23-26 revenue should grow by double digits,” says Shaikh, who is BNP Paribas’s India Analyst-Pharma and Healthcare.

India’s rising cancer burden has made oncology the fastest-growing speciality in Fortis. “Oncology is another focus area experiencing rapid growth. While it officially contributes 13% to our revenue, some are recognised under other branches. It’s closer to our cardiac revenue, at nearly 23%. This rapid shift reflects changing disease patterns, and we’re adapting accordingly,” says Raghuvanshi.

Next up: the rebranding of Fortis as a unit of IHH. But that’s still some distance away as a legal battle is on for the rebranding. Raghuvanshi, as he rushes to another meeting, declines to comment on the matter or timeline as it is under review in a court of law. **BT**

@neetu_csharma